

Quant Daily Digest

■ Daily Overview

Macro & Sentiment: Risk sentiment is under pressure amid rising US Treasury yields and elevated oil prices, fueling inflation concerns and prompting a cautious risk-off stance across global markets. Geopolitical tensions have escalated following former President Trump's stark warning to Iran, heightening Middle East supply disruption fears and adding to market uncertainty. Crypto markets reflect this risk aversion, with Bitcoin slipping toward \$79K amid structural on-chain signals warning of a potential sharp correction reminiscent of prior cyclical peaks. Equities / Rates: US Treasury yields continue to climb, reinforcing tightening financial conditions and weighing on growth-sensitive assets. Equities are likely to face headwinds from this backdrop, compounded by geopolitical risk and inflationary pressures. Quant strategies should monitor volatility regimes closely, as adaptive models may need recalibration to account for shifting macro drivers and heightened tail risks. FX & Commodities: Oil prices remain elevated on Middle East geopolitical concerns, supporting commodity-linked FX and inflation expectations. The USD is likely to maintain strength on safe-haven demand and higher real yields. Crypto assets face dual headwinds from macro tightening and on-chain bearish setups, despite pockets of innovation and user engagement in AI-driven decentralized exchanges. What to Watch: • XRP ETF momentum and AIX Alpha's launch of a free adaptive AI quant system for digital assets—potential catalyst for crypto quant strategies. • On-chain Bitcoin structural shifts signaling risk of sharp correction—critical for crypto risk management. • Geopolitical developments in the Middle East following Trump's Iran warning—monitor oil prices and risk sentiment for spillover effects.

■ Hot List

XRP ETF Momentum Builds as AIX Alpha Launches New Free Adaptive Quant System

AIX Alpha has launched a new free adaptive quant system leveraging AI for real-time market monitoring, adaptive analysis, and automated execution across digital assets. This development coincides with growing momentum for an XRP ETF, potentially increasing market interest and trading volumes in XRP-related products. The system aims to enhance trading efficiency and responsiveness to market conditions, which could influence price action and liquidity in digital asset markets. Quant traders may find the adaptive features valuable for dynamic positioning and risk management amid evolving ETF-related flows. The integration of AI-driven tools signals a broader trend toward automation in crypto asset trading.

Read more: <https://www.globenewswire.com/news-release/2026/05/16/3296225/0/en/XRP-ETF-Momentum-Builds-as-AIX-Alpha-Launches-New-Free-Adaptive-Quant-System.html>

GlobeNewswire

Crypto Quant Researcher Flags Major Dangerous Setup for Bitcoin Dating Back to February — Details

On-chain data indicates a significant structural shift in Bitcoin's market dynamics, signaling a potential sharp correction. The setup mirrors patterns observed at previous cyclical peaks, suggesting heightened risk for a downturn. Key metrics include changes in investor behavior and accumulation

trends dating back to February, highlighting weakening market support. This shift could impact positioning and flow dynamics, prompting caution among quant traders relying on historical cycle data. The warning underscores the importance of monitoring on-chain indicators for early signs of market reversals in Bitcoin.

Read more: <https://zycrypto.com/crypto-quant-researcher-flags-major-dangerous-setup-for-bitcoin-dating-back-to-february-details/>

ZyCrypto

Bitcoin slips towards \$79K as higher Treasury yields and oil prices pressure trigger risk-off sentiment

Bitcoin declined towards \$79,000 amid rising US Treasury yields and elevated oil prices, which heightened inflation concerns and triggered risk-off sentiment across global markets. This pressure extended to major altcoins, contributing to a drop in the overall cryptocurrency market capitalization. The increase in Treasury yields likely made fixed income assets more attractive relative to riskier assets like cryptocurrencies. Elevated oil prices added to inflation worries, further dampening appetite for risk. Market positioning appears cautious as investors reassess risk exposure in light of tightening financial conditions and macroeconomic uncertainties.

Read more: <https://economictimes.indiatimes.com/markets/cryptocurrency/bitcoin-slips-towards-79k-as-higher-treasury-yields-and-oil-prices-pressure-trigger-risk-off-sentiment/articleshow/131133871.cms>

The Times of India

Crypto News Today: AlphaPepe AI DEX Hits 4,000 Active Users While Ethereum Price Prediction Targets \$10,000

AlphaPepe's AlphaSwap AI decentralized exchange (DEX) demo has surpassed 4,000 active users, signaling growing engagement in AI-driven crypto platforms. The project's presale has raised over \$1.22 million, with the current Stage 16 token price at \$0.01700. Meanwhile, Ethereum price forecasts are bullish, targeting a \$10,000 level, reflecting strong market optimism around ETH's long-term value. These developments highlight increased retail participation and speculative interest in both new AI-based crypto projects and established assets like Ethereum. Market participants should monitor user growth and token sale progress as indicators of momentum and potential flow shifts.

Read more: <https://www.globenewswire.com/news-release/2026/05/16/3296194/0/en/Crypto-News-Today-AlphaPepe-AI-DEX-Hits-4-000-Active-Users-While-Ethereum-Price-Prediction-Targets-10-000.html>

GlobeNewswire

Trump warns Iran to 'get moving' or 'there won't be anything left'

Former President Trump issued a stark warning to Iran, urging the country to "get moving" or face severe consequences, implying potential military action. This rhetoric raises geopolitical tensions in the Middle East, which could impact oil prices and global markets due to fears of supply disruptions. Markets may see increased volatility in energy sectors and safe-haven assets like gold and the US dollar. Traders should monitor developments closely, as escalating conflict risks can lead to rapid shifts in risk sentiment and asset flows. Positioning in commodities and currencies sensitive to Middle East stability may require adjustment.

Read more: <https://www.cnn.com/2026/05/17/trump-warns-iran-wont-be-anything-left.html>

US Top News and Analysis

Asia-Pacific markets set for mixed open as Trump's Iran warning stokes fresh oil supply fears

Asia-Pacific markets are expected to open mixed amid heightened geopolitical tensions following former President Donald Trump's warning to Iran, raising concerns over potential disruptions in oil supply. The cautionary stance has led to increased volatility in energy markets, with crude oil prices edging higher on fears of supply constraints. Investors are balancing these risks against ongoing economic data and corporate earnings reports in the region. Key indices like the Nikkei 225, Hang Seng, and Kospi are showing varied futures performance, reflecting uncertainty in market positioning. Flows into safe-haven assets may increase if tensions escalate further.

Read more: <https://www.cnbc.com/2026/05/18/asia-pacific-markets-today-live-updates-nikkei-225-hang-seng-index-kospi-nifty-50.html>

US Top News and Analysis

Berkshire's new CEO overhauls portfolio, dumping a slate of stocks

Under new CEO Greg Abel, Berkshire Hathaway executed a significant portfolio overhaul in his first quarter, marking one of the largest shifts in recent history. The company sold off a broad range of stocks, signaling a strategic repositioning of its equity holdings. This move reflects a potential shift in investment philosophy or response to changing market conditions. The scale of the disposals may impact sector flows and influence market sentiment given Berkshire's stature. Quant models tracking institutional positioning should note these changes for updated factor exposures and potential rebalancing signals.

Read more: <https://www.cnbc.com/2026/05/16/berkshires-new-ceo-overhauls-portfolio-dumping-a-slate-of-stocks.html>

US Top News and Analysis

Why your 'fixed' mortgage payment keeps going up

Rising property taxes and homeowners insurance costs are increasing monthly payments for homeowners with fixed-rate mortgages, despite stable principal and interest amounts. This trend is driven by escalating local tax assessments and insurance premiums, which are often collected through escrow accounts. As a result, many borrowers face higher total housing costs, impacting disposable income and potentially influencing mortgage default risk. The increase in escrow payments may also affect consumer spending patterns and housing market dynamics. These factors are critical for quant models assessing mortgage-backed securities and housing-related credit risk.

Read more: <https://www.cnbc.com/2026/05/17/mortgage-escrow-shortages.html>

US Top News and Analysis

Stock market today: Dow, S&P; 500, Nasdaq futures dip from record-highs ahead of packed earnings week

U.S. stock futures retreated from record highs ahead of a busy earnings week, with the Dow, S&P; 500, and Nasdaq futures all showing modest declines. The pullback was influenced by heightened volatility in commodities markets due to escalating tensions in Iran, impacting risk sentiment. Investors are cautious ahead of key earnings reports, including major tech companies like Nvidia. Market positioning appears to be adjusting as traders weigh geopolitical risks against strong corporate earnings momentum. Overall, the market is in a consolidation phase after recent gains, with flows likely to focus on earnings-driven volatility.

Read more: <https://finance.yahoo.com/markets/stocks/live/stock-market-today-monday-may-18-earnings-nvidia-232705005.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Stock Futures Drift Lower and Brent Oil Passes \$110 a Barrel Amid Iran Impasse

Stock futures are slightly lower ahead of key earnings from Nvidia and Walmart this week, with Dow futures down 0.2% and S&P; 500 and Nasdaq 100 futures down about 0.1%. The market is also digesting geopolitical tensions, particularly the ongoing Iran impasse. In commodities, Brent crude oil surpassed \$110 per barrel, while WTI crude rose to \$107, reflecting supply concerns amid the geopolitical uncertainty. The modest futures decline suggests cautious positioning ahead of earnings and potential volatility from geopolitical risks. Overall, markets are balancing earnings anticipation with energy price-driven inflation concerns.

Read more: <https://finance.yahoo.com/m/9072d526-7182-3d14-877e-0e0731ab4b72/stock-futures-drift-lower-and.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Crypto CFDs are here save the City, apparently

Panmure Liberum has launched crypto CFDs, marking a return to offering derivatives on digital assets after a period of regulatory caution. This move aims to provide City traders with regulated exposure to cryptocurrencies without direct ownership, potentially increasing institutional participation. The CFDs cover major coins like Bitcoin and Ethereum, allowing for leveraged trading and short positions, which could enhance liquidity and price discovery. Market participants may see shifts in positioning as these products attract quant and hedge fund flows seeking to capitalize on crypto volatility within a regulated framework. This development reflects growing acceptance of crypto assets in traditional financial markets.

Read more: <https://www.ft.com/content/69d381ff-162d-44ae-beac-f5166017c944>

Alphaville

BoE's Pill votes for a free return path back to earth

Bank of England MPC member Michael Pill advocates for a "free return" approach to monetary policy, suggesting a path back to neutral rates without aggressive tightening that risks economic damage. Pill acknowledges the potential for economic pain but emphasizes the importance of flexibility in policy to avoid over-tightening. This stance contrasts with more hawkish members favoring sustained rate hikes to combat inflation. Market participants may interpret Pill's view as a signal for a less aggressive terminal rate, potentially influencing bond yields and GBP positioning. The debate highlights ongoing uncertainty in BoE policy direction amid inflation and growth concerns.

Read more: <https://www.ft.com/content/8a47c39e-4ac2-424b-b2d1-e0513ae0cc8e>

Alphaville

■ Articles

Jane Street reveals AI lab's evolution from six Dell boxes to liquid-cooled GPU data center

Jane Street has significantly upgraded its AI lab infrastructure, evolving from a modest setup of six Dell servers to a sophisticated liquid-cooled GPU data center. This transition underscores the firm's commitment to leveraging advanced technology for enhanced computational power and efficiency. The move likely supports more complex quantitative models and faster data processing, crucial for maintaining competitive edges in algorithmic trading. Such infrastructure investments reflect broader industry trends emphasizing scalable, high-performance computing to optimize market strategies and data analysis. This development may influence market positioning by enabling Jane Street to better exploit AI-driven insights.

Read more: <https://cryptobriefing.com/jane-street-ai-gpu-data-center/>

Crypto Briefing

Show HN: Got ghosted by tech companies so I built a tool to track ghost jobs

The article discusses a tool developed to track "ghost jobs," where tech companies leave job listings open for extended periods without communication or closure. This phenomenon results in prolonged live job postings, sometimes lasting months or even years, despite candidates applying and receiving no feedback. The tool aims to provide transparency on hiring practices by analyzing job listing durations and employer responsiveness. For market participants, this data could offer insights into tech sector hiring trends, labor market inefficiencies, and potential mismatches between demand and supply in tech talent. Such information may influence quant models focused on labor market dynamics and sectoral employment flows.

Read more: <https://csvfirst.com/insights/hiring-data/job-listings-that-stay-open-for-years/>

Csvfirst.com

amazingvmsloth 0.1.0

The release of amazingvmsloth 0.1.0 on Pypi.org introduces a high-performance tool for fine-tuning large language models (LLMs) with minimal VRAM usage. Key features include multi-GPU support, manual LoRA gradients, flash attention, and 4-bit quantization, enabling efficient model training and inference. This advancement could impact quant strategies relying on natural language processing by reducing computational costs and improving speed. Market participants focusing on AI-driven analytics and algorithmic trading may find this tool valuable for developing more sophisticated models with lower hardware requirements. The innovation aligns with ongoing trends in optimizing machine learning workflows for financial applications.

Read more: <https://pypi.org/project/amazingvmsloth/0.1.0/>

Pypi.org

amazingvmsloth added to PyPI

The new PyPI package "amazingvmsloth" offers blazing-fast fine-tuning for large language models (LLMs) with minimal VRAM usage. Key features include multi-GPU support, manual LoRA gradients, flash attention, and 4-bit quantization, which can significantly reduce computational resource requirements and speed up training. This development is relevant for quant funds and market participants leveraging AI models for trading strategies, as it enables more efficient model updates and experimentation. Enhanced fine-tuning capabilities could lead to faster adaptation to market data and improved predictive performance. The package's efficiency gains may influence the deployment of AI-driven trading systems.

Read more: <https://pypi.org/project/amazingvmsloth/>

deepttrade-quant 0.9.1

Deepttrade-quant 0.9.1 is a new command-line interface tool designed for quantitative analysis and stock screening specifically targeting A-share markets on the Shanghai and Shenzhen main boards. Leveraging large language models (LLMs), it aims to enhance stock selection processes by integrating advanced AI-driven insights. This tool could be significant for quants focusing on Chinese equities, providing a streamlined method to analyze market data and identify trading opportunities. Its release may influence market participants by improving the efficiency and accuracy of stock screening in these major Chinese exchanges.

Read more: <https://pypi.org/project/deepttrade-quant/0.9.1/>

Pypi.org

deepttrade-quant 0.8.1

Deepttrade-quant 0.8.1 is a new command-line interface tool designed for stock screening in China's A-share market, specifically targeting the Shanghai and Shenzhen main boards. Leveraging large language models (LLMs), it aims to enhance quantitative analysis and stock selection processes. This tool could facilitate more efficient data-driven decision-making for market participants focusing on Chinese equities. While it does not directly impact market prices or flows, its adoption may influence trading strategies and positioning in A-shares. The release highlights ongoing integration of AI technologies in quantitative finance.

Read more: <https://pypi.org/project/deepttrade-quant/0.8.1/>

Pypi.org

convert-to-quant 1.2.2

The release of convert-to-quant version 1.2.2 introduces functionality to convert safetensors weights into quantized formats such as FP8 and INT8. This update includes learned rounding optimization, which can enhance the precision and efficiency of quantized models. For quant-focused market participants, this tool may improve the deployment of machine learning models by reducing computational load and memory footprint, potentially impacting algorithmic trading strategies reliant on real-time data processing. The availability on PyPI facilitates easy integration into existing quant workflows, supporting faster experimentation and model iteration.

Read more: <https://pypi.org/project/convert-to-quant/1.2.2/>

Pypi.org

Trump touted Palantir on Truth Social after buying the company's stock, records show

In Q1 2026, former President Trump bought between \$247,008 and \$630,000 worth of Palantir Technologies stock while selling at least \$1.1 million of the shares. Concurrently, he promoted Palantir on his social media platform, Truth Social. This activity highlights notable insider trading and promotional behavior that could influence Palantir's stock price and market sentiment. The sizable transactions and public endorsements may impact retail investor flows and positioning in Palantir shares. Monitoring subsequent price action and volume could reveal the market's reaction to these developments.

Read more: <https://www.cnbc.com/2026/05/15/trump-palantir-stock-truth-social.html>

US Top News and Analysis

3 Reasons to Sell WCC and 1 Stock to Buy Instead

WESCO International (WCC) has surged 216% since May 2021, significantly outperforming the S&P; 500's 77.2% gain, and has gained 35.6% in the past six months due to strong quarterly results. Despite this impressive price action, the article suggests three reasons to sell WCC, implying potential overvaluation or upcoming headwinds. It also recommends an alternative stock to buy, signaling a shift in positioning away from WCC. The focus on relative performance and earnings-driven momentum highlights key factors for market participants considering sector rotation or profit-taking strategies. No specific policy or flow data were mentioned.

Read more:

<https://finance.yahoo.com/markets/stocks/articles/3-reasons-sell-wcc-1-232455860.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

Korn Ferry (KFY): Buy, Sell, or Hold Post Q4 Earnings?

Korn Ferry (KFY) is trading at \$64.52, showing a modest decline of 0.7% over the past six months, underperforming the S&P; 500's 9.9% gain in the same period. The stock's lackluster price action suggests limited investor enthusiasm despite recent earnings. No significant shifts in policy or capital flows were noted, indicating steady positioning without major institutional moves. Market participants may be cautious given Korn Ferry's relative weakness against broader indices. The data points highlight a neutral to slightly bearish sentiment in the near term for KFY.

Read more:

<https://finance.yahoo.com/markets/stocks/articles/korn-ferry-kfy-buy-sell-230055609.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

2 Reasons to Like TRV (and 1 Not So Much)

Travelers (TRV) is currently trading at \$294.96, showing modest price appreciation of 2.7% over the past six months, underperforming the S&P; 500's 9.9% gain. Despite this, the stock remains attractive due to its stable underwriting performance and strong dividend yield, which appeals to income-focused investors. However, concerns linger around potential underwriting losses and exposure to catastrophe risks, which could pressure future earnings. Market positioning appears cautious, reflecting mixed sentiment amid broader market volatility and sector-specific risks. Quant strategies may note the stock's relative underperformance and dividend stability for portfolio diversification.

Read more:

<https://finance.yahoo.com/markets/stocks/articles/2-reasons-trv-1-not-221255936.html?.tsrc=rss>

Yahoo! Finance: ^GSPC ^IXIC ^DJI News

FTAV's Friday charts quiz

The FTAV's Friday charts quiz highlights significant market movements and technical setups across various asset classes. Key data points include sharp price rallies and breakdowns, indicating heightened volatility and potential trend reversals. The charts emphasize shifts in momentum and volume patterns, suggesting changes in market positioning and investor sentiment. These visual insights are crucial for quants and traders focusing on technical signals and flow dynamics. The analysis underscores the importance of monitoring chart-based indicators for anticipating near-term

market behavior.

Read more: <https://www.ft.com/content/7e2fb3e8-cb91-4428-9ba2-0da79f95d1e4>

Alphaville

Nobel laureate Al Roth and the economics of organ sales

Nobel laureate Al Roth has contributed significantly to market design, particularly in organ sales, highlighting the economic inefficiencies in current donation systems. Roth's work suggests that introducing market mechanisms could alleviate organ shortages by better matching supply and demand. While ethical and regulatory challenges remain, his research underscores the potential for data-driven matching algorithms to optimize outcomes. This approach aligns with broader trends in market design and algorithmic trading, where improved matching and allocation can enhance efficiency. The implications extend to financial markets, where similar principles of matching and clearing are critical.

Read more: <https://www.ft.com/content/4795aab2-542f-4a07-a6d5-e1c671845b47>

Alphaville

WallStreetBets versus the SEC

The article discusses tensions between retail investors, particularly the WallStreetBets community, and the SEC regarding quarterly earnings reporting. It highlights concerns that the current reporting framework may be overly burdensome, potentially stifling American capitalism, though the impact is not overtly visible in market performance. The piece suggests that regulatory scrutiny and reporting requirements could influence market transparency and investor behavior, affecting data flow and positioning strategies. This dynamic is relevant for quants monitoring retail-driven volatility and regulatory risk factors in equity markets. No immediate price action or policy changes are noted, but ongoing debates may shape future reporting standards.

Read more: <https://www.ft.com/content/9cc70c08-6ee8-41ee-9be2-194b2de9deff>

Alphaville

■ AI & Finance

13 years later, the GTX Titan is still the most important GPU Nvidia ever made

The GTX Titan, released 13 years ago, remains Nvidia's most impactful GPU, marking a pivotal moment in the company's history. Its introduction bridged the gap between consumer and professional-grade graphics, offering unprecedented performance at a relatively accessible price point. This move reshaped Nvidia's market positioning, driving significant shifts in GPU pricing and demand dynamics. The GTX Titan's legacy continues to influence Nvidia's product strategy and investor sentiment, highlighting the importance of innovation in maintaining competitive advantage. Market participants should note the lasting effects of such landmark products on Nvidia's valuation and sector leadership.

Read more:

<https://www.xda-developers.com/heres-why-the-gtx-titan-was-the-greatest-card-nvidia-ever-made/>

XDA Developers

Show HN: Stoic AgentOS - Open-source operating system for AI agent fleets

The announcement introduces Stoic AgentOS, an open-source operating system designed for managing AI agent fleets. It offers capabilities to monitor, orchestrate, and maintain knowledge across multiple AI agents via a unified dashboard. While not directly financial news, such technology could impact quant trading by enhancing the deployment and coordination of AI-driven strategies. Improved AI agent management may lead to more efficient data processing and decision-making in algorithmic trading environments. The platform's open-source nature allows for customization and integration into existing quant infrastructure, potentially influencing future market data flows and strategy execution.

Read more: <https://github.com/benjaminkernbaum-ux/stoic-agentos>

Github.com

ABC Biography of Amos Plimpton and Mary Guild of Massachusetts (1735-1808)

The provided content is a historical biography unrelated to financial markets, data points, price action, policy, flows, or positioning. It does not contain any market or quantitative trading relevant information.

Read more: <https://www.blogger.com/browser-not-supported/?ref=/comment/fullpage/post/26204193/387699926247061831>

Blogger.com

Cyberpunk 2077: Chrome #3 Preview: Night City's Worst Recycling

The provided article preview from Bleeding Cool focuses on the comic "Cyberpunk 2077: Chrome #3" and does not contain any financial market data, price action, policy changes, flows, or positioning relevant to market or quantitative analysis. It is primarily entertainment and pop culture content without implications for financial markets or trading strategies.

Read more:

<https://bleedingcool.com/comics/cyberpunk-2077-chrome-3-preview-night-citys-worst-recycling/>

Bleeding Cool News

■ Quant Keywords & Mini-Glossary

ETF-related flows — [Capital movements driven by the creation or redemption of ETF shares affecting asset prices and liquidity.]

Adaptive quant system — [A trading model that dynamically adjusts strategies based on real-time market data and AI analysis.]

On-chain indicators — [Blockchain-based metrics used to assess market sentiment and potential price reversals in crypto assets.]

Risk-off sentiment — [Market behavior characterized by reduced risk appetite, leading to selling of risky assets.]

Positioning — [The aggregate exposure or stance of market participants in various assets or sectors.]

Flow dynamics — [Patterns and volumes of capital moving into and out of markets or asset classes.]

Volatility — [A statistical measure of the dispersion of returns, indicating market uncertainty or risk.]

Leveraged trading — [Using borrowed capital to increase the potential return of an investment.]

Short positions — [Trades that profit from a decline in the price of an asset.]

Factor exposures — [The sensitivity of a portfolio or asset to underlying risk factors like value, momentum, or size.]

Rebalancing signals — [Indicators suggesting adjustments in portfolio allocations to maintain target risk or return profiles.]

Mortgage default risk — [The probability that a borrower will fail to meet mortgage payment obligations.]

Credit risk — [The risk of loss due to a borrower's failure to repay a loan or meet contractual obligations.]

Earnings-driven volatility — [Price fluctuations in stocks caused by the release of corporate earnings reports.]

Supply constraints — [Limitations in the availability of a commodity or asset that can affect prices and volatility.]

Safe-haven assets — [Investments expected to retain or increase value during market turmoil, like gold or government bonds.]

Term premium — [The extra yield investors require to hold longer-term bonds instead of rolling over short-term bonds.]

Realized vs implied volatility — [Comparison between actual historical volatility and market-expected future volatility derived from options.]

Order flow imbalance — [A disparity between buy and sell orders that can signal short-term price movements.]

Value at Risk (VaR) — [A statistical technique to quantify the potential loss in value of a portfolio over a defined period for a given confidence interval.]

Conditional VaR (CVaR) — [The expected loss exceeding the VaR threshold, measuring tail risk in portfolios.]

Convexity — [The sensitivity of the duration of a bond to changes in interest rates, affecting price volatility.]

Carry — [The return earned from holding an asset, often from interest or dividends, minus the cost of financing it.]

Volatility surface — [A 3D plot showing implied volatility across different strike prices and maturities for options.]

Macro risk factors — [Economic variables like interest rates, inflation, and geopolitical events impacting asset prices.]